

SUNPHARMA

15.1%
ROE

15.6%
ROCE

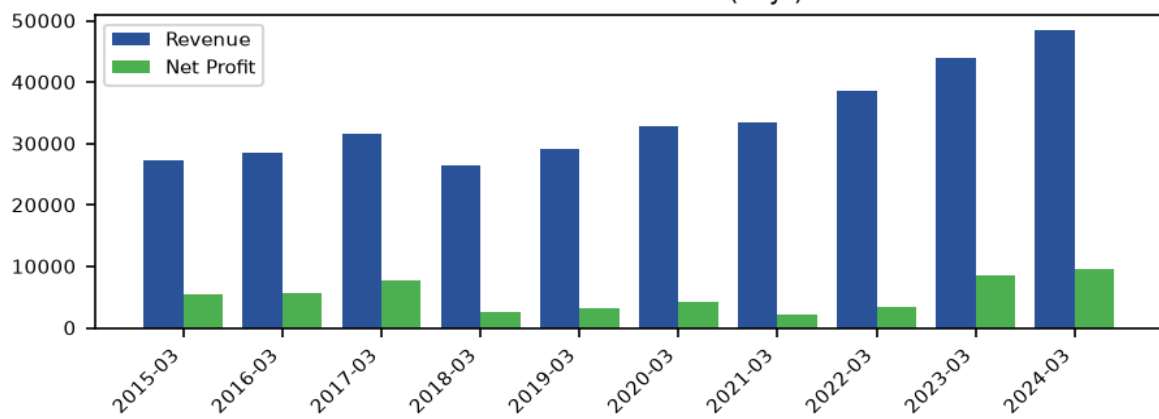
0.1x
D/E

10.8%
Revenue CAGR (5yr)

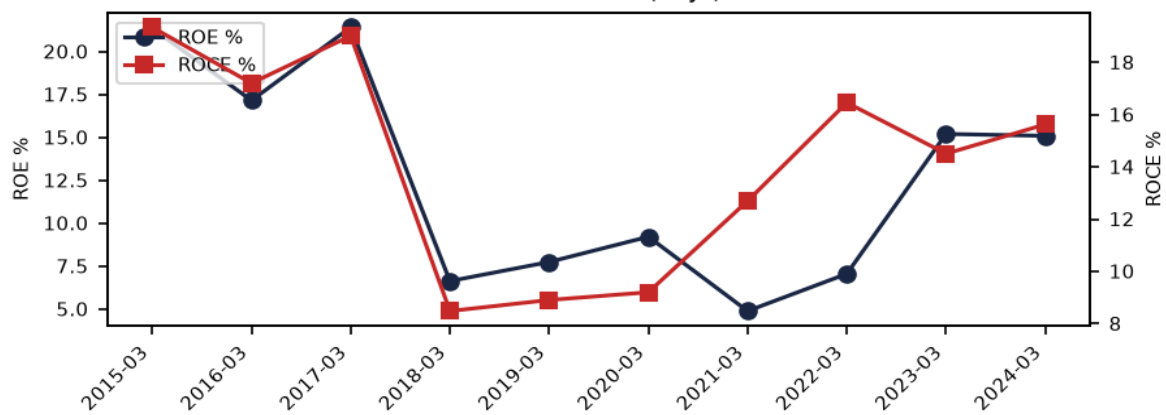
26.8%
OPM

19.8%
Net Profit Margin

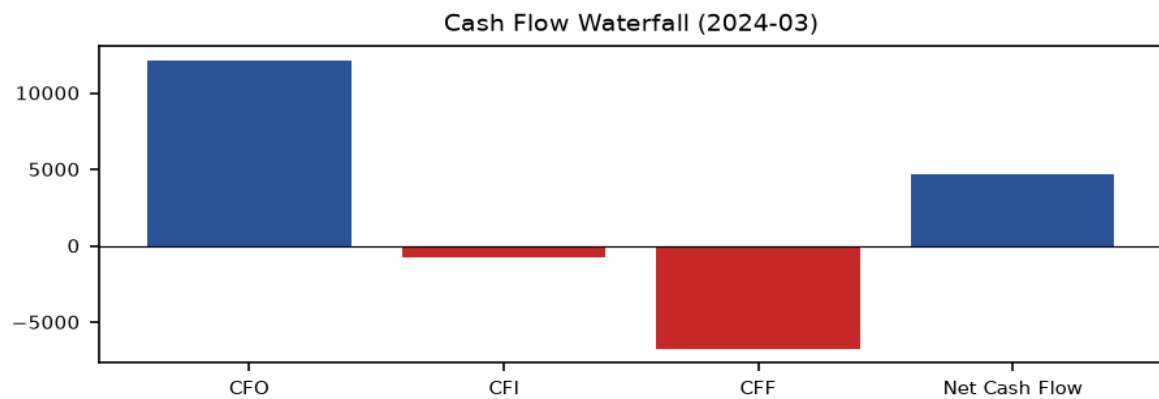
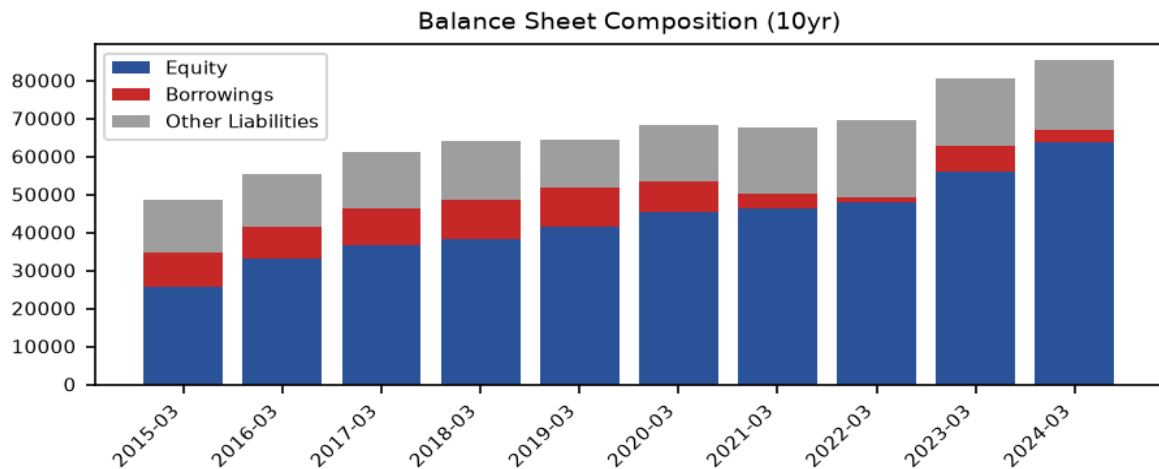
Revenue vs Net Profit (10yr)



ROE vs ROCE (10yr)



SUNPHARMA



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Free cash flow conversion below 100% of operating profit means some reported profit is not yet converting to cash

Capital Allocation Pattern: Reinvestor